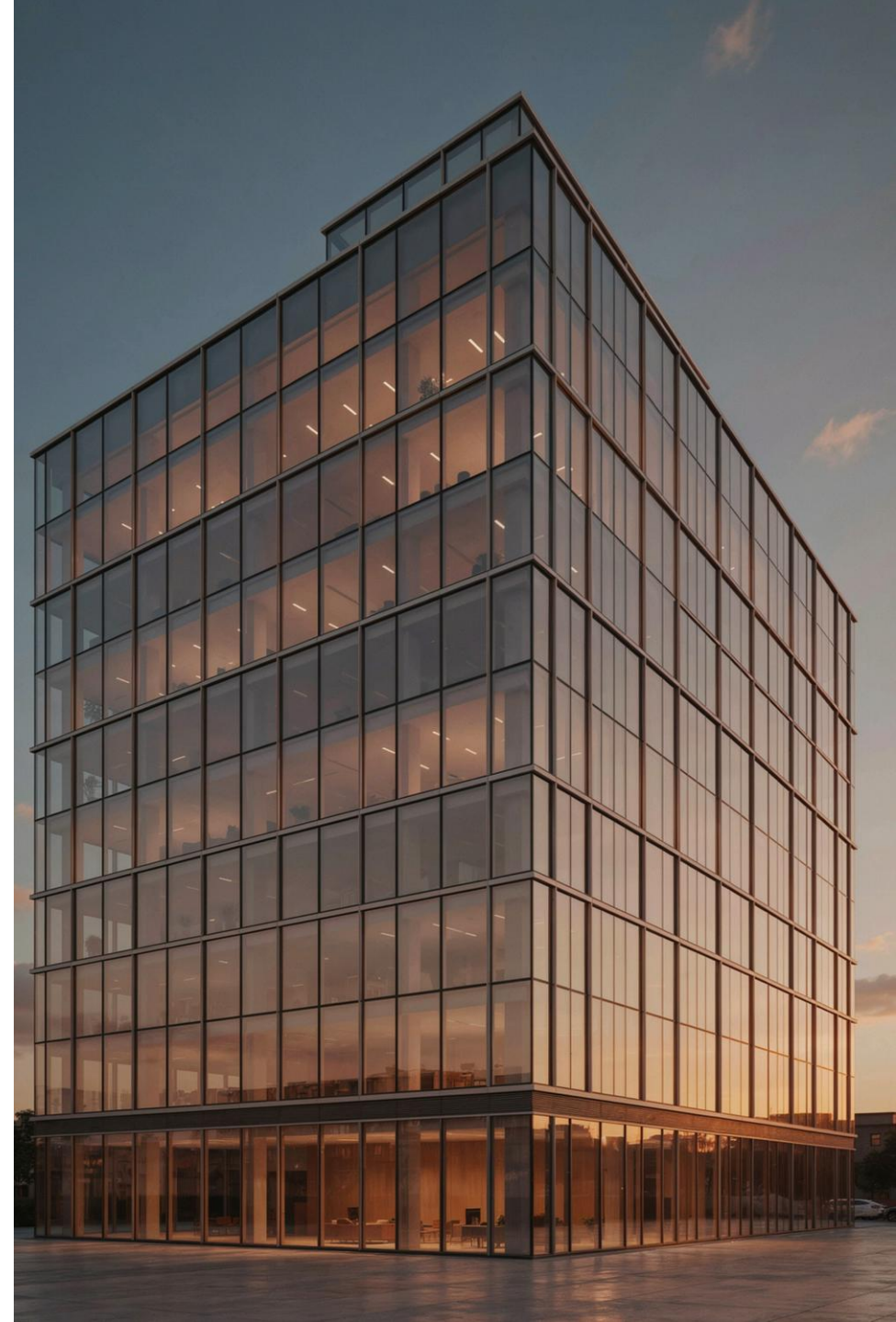


MBA FMA Annual Reporting

TOPIC 4

A comprehensive guide to the structure, content and regulatory requirements of corporate annual reports covering corporate information, statistical data, management commentary, directors' reports, ESG disclosures, risk management and audit reporting.



Agenda

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Corporate Information

Legal identity, governance structure and key company details

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ERM & Auditor's Report

Enterprise risk management and independent audit opinion

Corporate Information

The corporate information section of an annual report provides the foundational legal and structural details of the company. It enables shareholders, regulators and other stakeholders to identify the entity, understand its governance structure and locate key professional advisers.

Legal Identity

Company name, registration number, date of incorporation and registered office address

Governance

Directors, company secretary, auditors and legal advisers

Operations

Principal place of business, nature of activities and company strategy

Market & Group

Stock exchange listing, holding company, subsidiaries and associates

Corporate Information: Legal & Identity Details

Company Name

The registered legal name under which the company operates.

Registered Office

The official registered physical address where legal and statutory communications may be served.

Principal Place of Business

The main location from which business operations are conducted, where different from the registered office.

Date of Incorporation

The date on which the company was legally incorporated or registered.

Company Registration Number

The unique identification number assigned by the relevant government or company registrar.

Nature of Business / Principal Activities

Describes the main products, services and activities from which the company generates its income. This section helps users understand what the company does and how it creates value.

Company Strategy

Covers the mission, vision, values and other aspects of strategic positioning giving stakeholders insight into the company's long-term direction.

Annual General Meeting (AGM)

Provides details of the meeting at which shareholders consider matters such as financial statements, dividends, directors and auditors.

Company Website / Contact Details

Provides the company's website, telephone, email or other contact information through which stakeholders can obtain further information.

Corporate Information: Governance & Professional Advisers

Directors

Lists the members of the board responsible for overall governance, strategic direction and oversight of the company.

Company Secretary

Identifies the person or firm responsible for supporting the board and ensuring compliance with relevant corporate and statutory requirements.

Auditors

Identifies the independent external auditors appointed to audit the company's financial statements and provide an audit opinion.

Bankers

Lists the principal banks or financial institutions with which the company maintains banking relationships.

Legal Advisers / Advocates

Identifies the legal professionals or firms providing legal advice and representation to the company.

Stock Exchange Listing

Where applicable, identifies the stock exchange on which the company's shares or other securities are listed and traded.

Holding / Parent Company

Identifies the entity that controls the company, where it is part of a corporate group.

Ultimate Holding Company

Identifies the highest-level entity that ultimately controls the company within a group structure, where applicable.

Subsidiaries and Associates

Provides information about companies in which the reporting entity has control, significant influence or other investments.

Key Statistical Data

Key statistical data refers to quantitative information included in an annual report to help users understand the company's size, operational activity, financial performance, growth, customer base and other key aspects of its business. It **supplements the financial statements** by providing trends, ratios and operating indicators that give context beyond the numbers alone.



Financial Performance

Revenue, PBT, PAT, EPS, dividends and key financial ratios



Financial Position

Total assets, total equity, total liabilities, cash and cash equivalents



Operational Metrics

Employees, customers, sales volume, production capacity and market share



Segment & Geographic

Performance by business segment and geographical market or region

Key Statistical Data: Financial Indicators

Income & Profitability

Revenue / Turnover

Total income from main activities, often presented for current and prior years to show growth trends.

Profit Before Tax (PBT)

Profit before deducting income tax — useful for assessing operating and overall performance.

Profit After Tax (PAT)

Profit attributable to the company after tax — an important measure of overall profitability.

Earnings Per Share (EPS)

Profit attributable to each ordinary share — helps investors assess earnings generated from their investment.

Dividend Per Share

Dividend distributed or proposed for each ordinary share — indicates returns to shareholders.

Position & Liquidity

Total Assets

Overall size of the company's economic resources and an indication of its scale of operations.

Total Equity / Net Assets

Residual interest of shareholders after deducting liabilities from assets.

Total Liabilities / Borrowings

Level of obligations owed indicates financial leverage and indebtedness.

Cash and Cash Equivalents

Immediately available or highly liquid funds held at year-end.

Operating Cash Flow

Cash generated or consumed by the company's principal operating activities.

Key Statistical Data: Operational & Market Indicators

	Market Capitalisation For listed companies market value of outstanding shares, calculated as share price multiplied by shares outstanding.
	Share Price Movement Market price of the company's shares, including highest, lowest and closing prices during the year.
	Number of Employees Size of the workforce, analysed by gender, location, business unit or employee category.
	Number of Customers Size and development of the customer base, presented by product, market or geographical region.
	Sales Volume / Units Sold Physical volume of products or services sold helps explain changes in revenue.
	Market Share Estimated share of a particular market indicates the company's competitive position.

Growth Rates
Percentage change in important measures such as revenue, profit, customers, assets or employees between periods.

Key Financial Ratios
Analytical measures such as profit margin, ROA, ROE, current ratio, debt-to-equity and interest cover to help users evaluate performance and financial position.

Key Operational KPIs
Industry-specific measures used by management — e.g. loan growth and NPLs for banks, occupancy rates for hotels, or subscribers for telecoms companies.



SECTION 4.3

Chairman & CEO Reports: Management Commentary



Also called **Management Commentary** or **Management Discussion and Analysis (MDA)**. This is the narrative section of an annual report in which management explains the entity's financial performance, financial position, business environment, strategy, risks and prospects. It provides context for understanding the financial statements and helps users assess how management has performed and what may affect the entity in the future.

Management Commentary: Seven Key Aspects

1 External Operating Environment

Explains the external economic, regulatory, technological, social, political and competitive environment. Covers economic conditions, inflation, interest rates, exchange rates, regulation, taxation, technology, competition, customer trends and industry developments.

3 Risks

Describes the principal risks and uncertainties that could affect achievement of objectives covering strategic, financial, operational, credit, liquidity, market, cyber, regulatory, environmental and reputational risks, together with mitigation measures.

2 Strategy

Explains the organisation's strategic objectives and priorities and how management intends to achieve them including growth plans, competitive strategy, investments, market expansion, innovation, digital transformation and progress against strategic objectives.

4 Business Model

Explains how the organisation creates, delivers and captures value covering products and services, customers, markets, revenue sources, key activities, competitive advantages, cost structure and value creation process.

Management Commentary: Aspects 5–7

5. Resources and Relationships

Describes the key resources and relationships the organisation depends on to create value including human capital, intellectual property, technology, financial resources, physical assets, suppliers, customers, strategic partners, regulators and community relationships.

6. Financial Performance and Position

Explains financial results and changes in financial position, including key factors driving performance rather than simply repeating the financial statements. Covers revenue, profitability, margins, cash flows, liquidity, capital structure, assets, liabilities, investments, significant changes and key financial performance indicators.

7. Outlook

Provides management's assessment of future prospects, opportunities, challenges and factors likely to affect future performance and position including expected market conditions, future strategy, growth opportunities, emerging risks, investment plans and factors that could materially influence future results.

Directors' Report

In Kenya, the **Directors' Report** is a statutory report prepared by the directors and presented alongside the annual financial statements. Its purpose is to give shareholders and other users information about the development, performance and position of the company, its principal activities, risks, governance and significant matters affecting the business. The main legal framework is the **Companies Act, 2015 (Cap. 486)**, supplemented by the **Companies (General) Regulations, 2015**.

- ❏ The Directors' Report should not simply repeat the financial statements. Its principal purpose is to provide management's narrative explanation of the company's activities, development, performance, financial position and risks, together with specific statutory disclosures.

Statutory Basis

Companies Act, 2015 (Cap. 486) and Companies (General) Regulations, 2015 latest version dated 27 December 2024

Primary Audience

Shareholders and other users of the annual report who need to understand the company's development, performance and position

Core Purpose

Narrative explanation of activities, performance, financial position, risks and specific statutory disclosures required by law

Directors' Report: Requirements 1–9

- **Directors' Responsibility**

Directors are responsible for preparing the report and ensuring information is appropriate and consistent with the financial statements and the law

- **Principal Activities**

A description of the principal activities of the company during the financial year and, where relevant, significant changes in those activities.

- **Fair Review of the Business**

A fair review of the development, performance and position of the company's business, giving users an understanding of how the company performed

- **Key Performance Indicators (KPIs)**

Where necessary for understanding the business, analysis using relevant financial and other KPIs defined as factors by which the development, performance or position of the business can be effectively measured.

- **Principal Risks and Uncertainties**

Disclosure of the principal risks and uncertainties facing the company, together with relevant discussion of their implications for the business.

- **Financial Review**

Commentary explaining significant aspects of the company's financial performance and position, rather than merely reproducing figures .

- **Dividends**

The report should state the amount of dividend, if any, recommended by the directors for the financial year.

- **Directors**

Identification of directors who served during the financial year and disclosure of relevant changes in the composition of the board.

- **Directors' Interests**

Where applicable, disclosure of arrangements enabling directors to acquire benefits through acquisition of shares or debentures and other prescribed interest

Directors' Report: Requirements 10–18

- **Directors' Remuneration**

Relevant information concerning directors' remuneration under the Companies (General) Regulations; quoted companies have additional directors' remuneration reporting requirements.

- **Directors' Resignation / Non-Re-election**

Where a director resigns or declines to stand for re-election because of reasons relating to the company's affairs, the report should provide a summary of those reasons.

- **Directors' Indemnity Provisions**

Where qualifying indemnity provisions exist for directors, the report must disclose their existence in accordance with the Companies Act.

- **Material Interests in Transactions**

Disclosure of prescribed material interests of directors in transactions, arrangements or contracts, including the nature of the interest and relevant parties.

- **Donations**

Where the statutory threshold is met, the report must disclose the total amount of charitable or other donations made by the company. The prescribed threshold is Sh 100,000.

- **Auditor-Related Statement**

Directors are required to make appropriate statements concerning their knowledge of relevant audit information and the steps taken to ensure the company's auditor is aware of such information.

- **Subsequent Events / Significant Matters**

Significant events occurring after the reporting period that affect the company's position or prospects should be appropriately disclosed in the Directors' Report or financial statement notes.

- **Going Concern and Future Prospects**

Appropriate commentary on the company's ability to continue operating and relevant factors affecting its future prospects, particularly where there are significant uncertainties.

- **Approval and Signing**

The Directors' Report forms part of the annual reporting package and should be approved by the board and appropriately signed in accordance with the Companies Act and applicable reporting requirements.

Environmental, Social and Governance (ESG)

ESG disclosures cover an organisation's impacts, risks, opportunities and performance across three interconnected pillars. Two major frameworks guide ESG reporting: **GRI** (Global Reporting Initiative), which focuses principally on the organisation's impacts on the economy, environment and people; and **IFRS S1**, which focuses on sustainability-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, access to finance or cost of capital over the short, medium or long term.

Environmental

Energy, emissions, water, waste, biodiversity, materials and climate-related disclosures

Social

Employees, health and safety, human rights, communities, customers and supply chain

Governance

Board structure, accountability, transparency, risk management and shareholder rights

Environmental Disclosures

Environmental disclosures are information reported by an organisation about its environmental impacts, dependencies, risks, opportunities, policies, performance and targets. They cover matters such as energy use, greenhouse-gas emissions, water, materials, waste, biodiversity and environmental compliance.



Materials (GRI 301)

Disclose materials used by weight or volume, distinguishing renewable and non-renewable materials; recycled input materials and reclaimed products/packaging. IFRS S1: consider dependence on scarce materials, resource availability, supply disruption and input costs.



Energy (GRI 103: Energy 2025)

Disclose energy consumption within and outside the organisation, energy intensity, reduction in energy consumption and reductions in energy requirements for products and services. IFRS S1: material risks from energy dependence, costs, efficiency and transition to lower-carbon energy.



Water and Effluents (GRI 303)

Disclose how the organisation interacts with water as a shared resource water withdrawal, consumption, discharge and management of water-related impacts. IFRS S1: water availability, quality or affordability affecting operations, supply chain, revenues or costs.



Biodiversity (GRI 101: Biodiversity 2024)

Disclose significant impacts on biodiversity, including impacts on ecosystems, habitats and species, and actions taken to manage and restore biodiversity. GRI 101 supersedes GRI 304 from 1 January 2026.

Environmental Disclosures: Emissions, Waste & Compliance

GHG Emissions (GRI 305)

Disclose **Scope 1, Scope 2 and Scope 3** GHG emissions, emissions intensity and reductions, together with the organisation's approach to managing emissions. Climate-related risks are specifically addressed by **IFRS S2**, applied together with IFRS S1.

Waste (GRI 306: Waste 2020)

Disclose waste generated, significant waste-related impacts, management of waste, waste diverted from disposal and waste directed to disposal. IFRS S1: consider financial effects from waste regulation, disposal costs, resource efficiency, circular-economy opportunities and environmental liabilities.

Environmental Compliance

Disclose significant instances of non-compliance with environmental laws and regulations, including fines and non-monetary sanctions. Environmental regulation can create material risks through fines, remediation costs, licence restrictions and capital expenditure.

Supplier Environmental Assessment (GRI 308)

Addresses environmental assessment of suppliers, including the proportion of new suppliers screened using environmental criteria and significant negative environmental impacts in the supply chain. IFRS S1 considers the value chain.

Environmental Targets and Performance

Report objectives, targets, actions and performance in managing material environmental topics, including progress against targets. IFRS S1 requires disclosure of metrics and targets used to measure and manage sustainability-related risks and opportunities.

Climate-Related Disclosures (IFRS S2)

Climate-related disclosures cover an organisation's climate-related physical risks, transition risks and opportunities, together with their effects on strategy, business model, financial performance, financial position, cash flows and prospects. **IFRS S2** is applied together with IFRS S1 and focuses on risks and opportunities that could reasonably be expected to affect an entity's cash flows, access to finance or cost of capital over the short, medium or long term.



Climate Disclosure: Key Matters

Physical Risks

Risks from the physical effects of climate change acute or chronic. Examples: floods, droughts, extreme temperatures, storms, water scarcity and rising sea levels.

Transition Risks

Risks from the transition to a lower-carbon economy. Examples: new climate regulations, carbon pricing, changing customer preferences, technological changes and stranded assets.

Climate Opportunities

Opportunities from efforts to mitigate or adapt to climate change. Examples: renewable energy, energy efficiency, low-carbon products, green financing and new markets.

GHG Emissions

Measurement and reporting of greenhouse-gas emissions Scope 1, Scope 2 and Scope 3 emissions and emissions intensity.

Climate Strategy

How climate risks and opportunities affect the business model, strategy and financial planning including transition plans, capital expenditure, product development and supply chain changes.

Climate Resilience

The organisation's ability to withstand climate-related changes and uncertainties assessed through scenario analysis under different climate scenarios.

Climate Targets

Targets established to manage climate risks and opportunities e.g. net-zero target, emissions-reduction target or renewable-energy target and progress towards those targets.

Capital Deployment & Carbon Price

Financial resources allocated to climate-related risks and opportunities; and an internal carbon price (KSh/USD per tonne of CO₂ equivalent) used in investment decisions.

Climate-Linked Remuneration

The extent to which executive remuneration is linked to climate-related performance e.g. executive bonus linked to achieving emissions-reduction targets.



SECTION 4.5.2

Social Disclosures

Social disclosures are information reported by an organization about its impacts, policies, practices, risks, opportunities and performance relating to **people and society**. They cover matters such as employees, occupational health and safety, diversity and inclusion, human rights, communities, customers, suppliers and responsible business practices. GRI focuses primarily on an organization's impacts on people and society, while IFRS S1 focuses on social-related risks and opportunities that could affect the entity's financial prospects.

Social Disclosures: Employment & People

Employment (GRI 401)

Disclose employment types, employee turnover, benefits, parental leave and other employment conditions. Poor employment practices, labour shortages or high turnover may create material risks affecting operating costs, productivity and future cash flows.

Occupational Health & Safety (GRI 403)

Disclose OHS management systems, work-related injuries, occupational diseases, fatalities and prevention measures. Health and safety failures can result in disruption, litigation, compensation costs, reputational damage and regulatory action.

Training and Education (GRI 404)

Disclose programmes for upgrading employee skills, average training hours and development opportunities. Skills development can be a social-related opportunity where investment in human capital improves productivity, innovation and strategic execution.

Diversity and Equal Opportunity (GRI 405)

Disclose diversity of governance bodies and employees and measures taken to promote equal opportunity. Workforce diversity may affect talent attraction, retention, organisational capability and reputation.

Non-discrimination (GRI 406)

Disclose incidents of discrimination and corrective actions taken. Material discrimination-related risks may lead to litigation, penalties, employee turnover, reputational damage and higher operating costs.

Labour Relations

Disclose information about collective bargaining, employee consultation and relationships between management and workers. Poor labour relations, disputes or strikes may create operational disruption, increased costs and reduced productivity.

Social Disclosures: Human Rights, Communities & Customers

Human Rights (GRI 2)

Disclose policies, processes and impacts relating to human rights, including assessment of operations and suppliers. Human-rights risks may affect business continuity, reputation, market access, regulatory compliance and financing.

Child and Forced Labour

Disclose operations and suppliers at significant risk of child labour or forced/compulsory labour, and actions taken to address such risks. Such practices may result in legal, reputational and supply-chain risks.

Local Communities (GRI 413)

Disclose impacts of operations on communities and processes for community engagement, impact assessment and development programmes. Community opposition or loss of operating licences can create material financial risks.

Community Investment and Social Impact

Disclose programmes and resources directed toward community development. Social investment may represent an opportunity where it strengthens relationships, supports market access or reduces operational risks.

Customer Health and Safety

Disclose health and safety impacts of products and services and measures taken to address them. Product-related harm can create recalls, litigation, regulatory sanctions, loss of customers and reputational damage.

Customer Privacy (GRI 418)

Disclose policies and incidents concerning customer privacy and protection of personal data. Data breaches and privacy failures can result in regulatory penalties, litigation, loss of customers and increased cybersecurity costs.

Customer / Consumer Information

Disclose information concerning responsible marketing, product information, labelling and the impact of products and services on consumers. Misleading or inadequate information may create regulatory, legal and reputational risks.

Supplier Social Assessment

Disclose the extent to which suppliers are screened using social criteria and significant negative social impacts in the supply chain. Social risks within the value chain can disrupt supplies, increase costs and affect reputation and business continuity.

IFRS S1: Sustainability Disclosure Framework

IFRS S1 combines both environmental and social aspects under the umbrella of **Sustainability**. It requires entities to disclose information about sustainability-related risks and opportunities that could reasonably be expected to affect cash flows, access to finance or cost of capital. Key disclosures are grouped into four themes:

1

Governance

How governance bodies and management oversee sustainability-related risks and opportunities board/committee responsibilities, skills, oversight of strategy and links with remuneration

2

Strategy

How sustainability-related risks and opportunities affect the entity's business model, strategy and decision-making including short-, medium- and long-term effects and financial planning

3

Risk Management

Processes used to identify, assess, prioritise and monitor sustainability-related risks and opportunities, and how these are integrated into the overall risk-management framework

4

Metrics & Targets

Metrics used to measure, monitor and manage sustainability-related risks and opportunities, together with targets and progress including industry-specific and cross-industry metrics

Corporate Governance

Corporate governance refers to the system of rules, principles, structures, processes and relationships through which a company is **directed, controlled and held accountable**. It defines the roles and responsibilities of the board, management, shareholders and other stakeholders, and establishes how strategic decisions are made, risks are managed, performance is monitored and accountability is maintained.

The OECD describes corporate governance as the relationships between management, the board, shareholders and stakeholders, together with the structures through which the company sets objectives, achieves them and monitors performance.

In the Kenyan context, the CMA describes corporate governance as the way in which corporate power is exercised in managing the company's assets and resources to maintain and increase long-term shareholder value while considering stakeholder interests.

Key Principles of Corporate Governance

1

Accountability

Directors and management should be accountable for their decisions, actions and performance to the company and its shareholders.

2

Transparency

The company should provide timely, accurate and understandable information on material matters, including financial performance, ownership, governance and significant risks.

3

Fairness

All shareholders, including minority shareholders, should receive fair and equitable treatment and have appropriate rights and remedies.

4

Responsibility

The board should provide strategic direction, oversee management and ensure that the company complies with applicable laws and regulations.

5

Independence

The board should include sufficient independent judgement to enable objective oversight of management and avoid conflicts of interest.

1

Integrity & Ethics

Directors and executives should act honestly, ethically and in the best interests of the company, avoiding conflicts of interest and abuse of corporate resources.

2

Effective Board Leadership

The board should have an appropriate structure, skills, experience, diversity and committees to discharge its responsibilities effectively.

3

Risk Management

The board should oversee systems for identifying, assessing, managing and monitoring material risks.

4

Shareholder Rights

Shareholders should have effective rights to participate in key decisions, receive relevant information and vote at general meetings.

5

Sustainability & Resilience

Governance should consider material sustainability-related risks and opportunities and support the company's long-term resilience and value creation. Expressly included as a core pillar in the 2023 G20/OECD Principles.

Corporate Governance Disclosure Requirements

Corporate governance disclosures should enable shareholders, investors and other stakeholders to understand how the company is governed, who is responsible, how decisions are made and how accountability is exercised.

Governance Structure

Board structure, composition, roles and responsibilities; distinction between the board and management; and governance framework.

Board of Directors

Names, qualifications, experience, independence, tenure, other directorships and board/committee memberships.

Board Committees

Audit, risk, remuneration, nomination and other committees, their composition, responsibilities and activities.

Board Meetings & Attendance

Number of meetings held, directors' attendance and significant matters considered.

Board Evaluation

Processes for evaluating the effectiveness and performance of the board, committees and individual directors.

Remuneration

Directors' and senior executives' remuneration policies, amounts or relevant disclosures, and the relationship between remuneration and long-term performance. OECD principles emphasise transparent remuneration information.

Shareholding & Ownership

Major shareholders, ownership structure, voting rights, control arrangements and, where applicable, directors' shareholdings.

Related-Party Transactions

Material transactions involving directors, management, significant shareholders or related entities, including the nature and terms of the transactions.

Conflicts of Interest

Policies and procedures for identifying, managing and disclosing actual or potential conflicts of interest involving directors and management.

Risk Management & Internal Control

Principal risks, risk-management framework, internal-control systems and the board's oversight of these systems.

Audit & Financial Reporting

Role of the audit committee, relationship with internal and external auditors, financial reporting process and significant audit matters.

Compliance

Compliance with relevant laws, regulations, corporate governance codes and applicable listing requirements; explanations for areas of non-compliance where applicable.

Sustainability Governance

Board and management responsibility for material sustainability-related risks and opportunities and how these are integrated into strategy and risk management.

Shareholder Engagement

Procedures for general meetings, voting, communication with shareholders and protection of shareholder rights.

Governance Policies

Board charter, committee charters, codes of conduct, governance policies and other relevant governance documents.

Material Developments

Timely disclosure of significant developments, including material transactions, changes in control, major risks and other information that could affect investors' decisions. OECD principles support both periodic and timely disclosure.

Enterprise Risk Management (ERM)

An annual report should provide sufficient information for users to understand the principal risks facing the organisation, their potential impact, and how management and the board manage those risks.



ERM Report: Governance, Framework & Risk Categories

Risk Governance

The role of the Board, Board Risk Committee, management and other responsible functions in overseeing and managing risk.

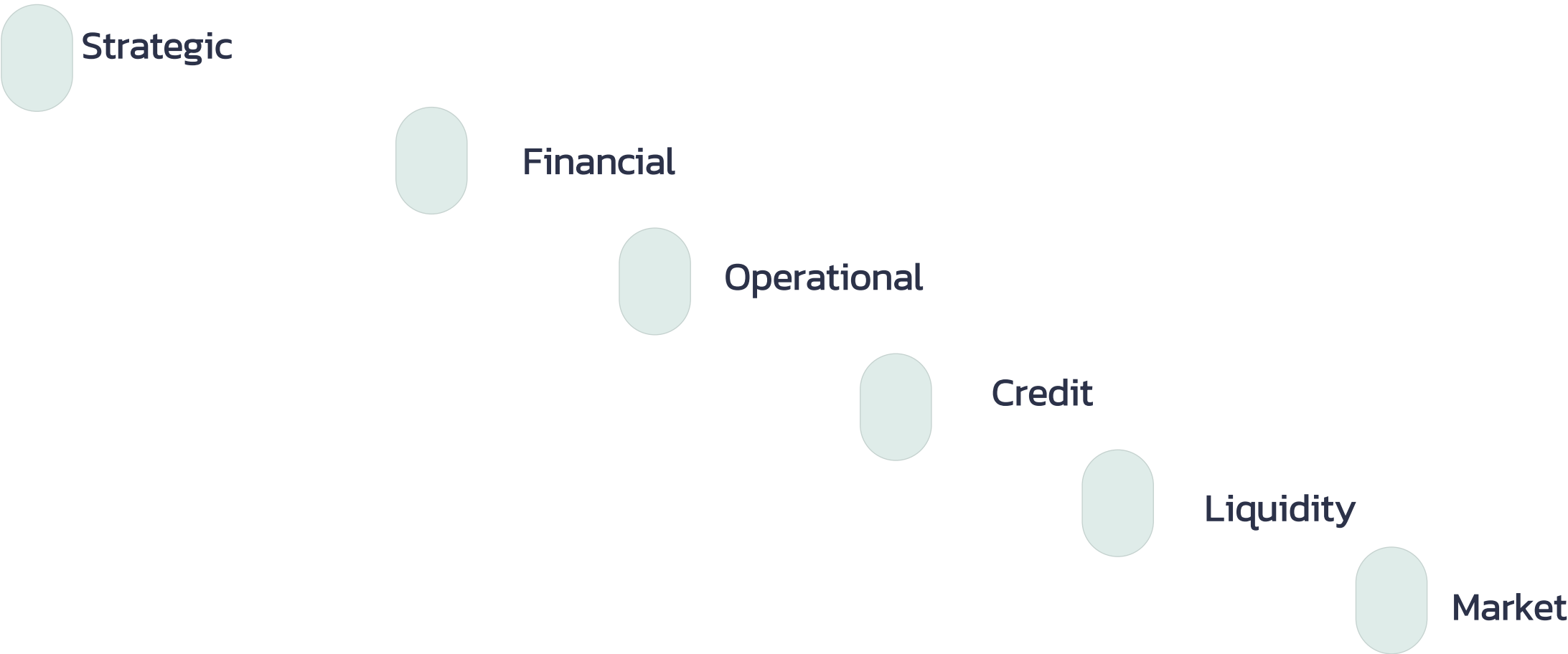
Risk Management Framework

The organisation's overall approach, policies and processes for identifying, assessing, responding to, monitoring and reporting risks.

Principal / Material Risks

The key risks that could materially affect the organisation's strategy, operations, financial performance, financial position or reputation.

Risk Categories



ERM Report: Assessment, Appetite & Responses

Risk Assessment

Explanation of how risks are assessed, including their likelihood, potential impact, velocity and severity, where relevant.

Risk Appetite / Tolerance

The level and types of risk the organisation is willing to accept in pursuing its objectives, together with significant changes in risk appetite where relevant.

Risk Responses / Mitigation

Key measures used to avoid, reduce, transfer, accept or exploit risks including controls, insurance, diversification and contingency plans.

Emerging Risks

Significant new or developing risks that could affect the organisation in the future, such as technological, geopolitical, regulatory or climate-related risks.

Risk Interdependencies

Important relationships between risks, for example, how a cyber incident could create operational, financial, legal and reputational risks simultaneously.

Internal Control

Description of significant internal-control systems used to prevent or detect errors, fraud and other risks, including management's assessment of their effectiveness where required.

Risk Monitoring

How management and the board monitor risk exposures, controls, incidents, key risk indicators and changes in the risk environment.

ERM Report: Incidents, Financial Risks & Outlook

Risk Incidents and Losses

Material risk events during the year, their consequences and the corrective actions taken, where disclosure is required and appropriate.

Financial Risk Disclosures

Where applicable, detailed information on credit risk, liquidity risk, market risk, foreign exchange risk, interest-rate risk and other financial risks, particularly under **IFRS 7**.

Sustainability-Related Risks

Material sustainability-related risks and opportunities, including how they may affect the entity's strategy, business model, cash flows, access to finance and cost of capital, consistent with **IFRS S1** and **IFRS S2** where applicable.

Risk Outlook

Management's view of future risk developments, significant uncertainties and how the organisation intends to respond.

What will the new Auditor's Report look like?

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of ABC Company [or Other Appropriate Addressee]

Report on the Audit of the Financial Statements

Opinion

We have audited

In our opinion, the accompanying financial statements present fairly, in all material respects, (or give a true and fair view of) the financial position of the Company as at December 31, 20X1, and (of) its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with We are independent of the Company...

Audit opinion at the beginning, followed by a Basis for opinion paragraph. Affirmative statement about the auditor's independence

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

[Description of each KAM in accordance with ISA 701]

Description of Key Matters in the Audit for listed entities, including WHY and HOW for each KAM

Information other than the financial statements and auditor's report thereon

Management is responsible for the other information. The other information comprises the [information included in the X report], but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

New Other Information section to explain responsibilities of management and auditors, and whether we have any findings.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain ...

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- § Identify and assess the risks of material misstatement of the financial statements, ...
- § Obtain an understanding of internal control relevant to the audit ...
- § Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- § Conclude on the appropriateness of management's use of the going concern basis of accounting ...
- § Evaluate the overall presentation, structure and content of the financial statements ...

Enhanced description of the Auditor's Responsibilities. This is standard wording for every auditor's report and can be moved to an appendix to keep the auditor's report focused on the KAMs

The engagement partner on the audit resulting in this independent auditor's report is [name].

Disclosure of the name of the

SECTION 4.7

The Auditor's Report

An audit report is a **formal written communication** issued by an independent external auditor after examining an entity's financial statements. It provides the auditor's opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework. The auditor's report is one of the most important documents in the annual report package, as it provides independent assurance to shareholders and other users.

Key Components of the Auditor's Report (1–7)

1 Title

Identifies the document as the **Independent Auditor's Report**, emphasising the auditor's independence from the entity being audited.

2 Addressee

Identifies the person or group to whom the report is addressed — normally the shareholders or members of the entity.

3 Auditor's Opinion

The most important section. The auditor states whether the financial statements give a **true and fair view / present fairly**, in all material respects, in accordance with the applicable reporting framework.

4 Basis for Opinion

Explains the basis for the auditor's opinion and confirms that the audit was conducted in accordance with the applicable **International Standards on Auditing (ISAs)** and that the auditor complied with relevant ethical and independence requirements.

5 Key Audit Matters (KAMs)

For entities where KAM reporting applies, this section identifies matters that, in the auditor's professional judgement, were of most significance in the audit. It explains why each matter was significant and how it was addressed.

6 Going Concern

Where applicable, reports on matters relating to the entity's ability to continue as a going concern, including a separate section where a material uncertainty related to going concern exists.

7 Other Information

Addresses information included in the annual report other than the audited financial statements and auditor's report — such as the directors' report or management commentary. The auditor explains responsibilities relating to this information and reports relevant findings.

Key Components of the Auditor's Report (8–13)

Responsibilities of Management

Explains management's responsibility for preparing the financial statements, maintaining appropriate internal controls and assessing the entity's ability to continue as a going concern.

Auditor's Responsibilities

Explains the auditor's responsibility to obtain **reasonable assurance** that the financial statements are free from material misstatement, whether caused by fraud or error, and to issue an audit report containing the auditor's opinion.

Report on Other Legal Requirements

Contains additional reporting required by company law, regulators or other applicable legislation, where relevant.

Name / Signature of Auditor

Identifies the audit firm or auditor responsible for the audit report.

Auditor's Address

Gives the location or registered address of the auditor or audit firm.

Date of the Auditor's Report

Indicates when the auditor has obtained sufficient appropriate audit evidence and completed the work necessary to support the audit opinion.

Types of Audit Opinion

The auditor's opinion is the most critical element of the audit report. There are four possible types of opinion, depending on the nature and extent of any issues identified:

Unmodified Opinion

The financial statements are materially correct and prepared in accordance with the applicable reporting framework. This is the "clean" opinion that users expect.

Qualified Opinion

The financial statements are generally acceptable **except for** a specific material matter identified by the auditor. The problem is material but not pervasive.

Adverse Opinion

The misstatements are both **material and pervasive**, meaning the financial statements as a whole are not reliable. This is the most serious modified opinion.

Disclaimer of Opinion

The auditor cannot obtain sufficient appropriate audit evidence and therefore **cannot form an opinion** on the financial statements.

Material vs. Pervasive: Key Definitions

Material

A misstatement or omission is **material** if it is important enough that it could influence the decisions of users of the financial statements.

Example: A company fails to record a significant loan of Sh 50 million. This could affect users' assessment of the company's financial position.

Pervasive

A misstatement or limitation is **pervasive** when its effects are so widespread or significant that they affect the financial statements as a whole, rather than being confined to one specific item or area.

Example: If a company uses an inappropriate accounting basis affecting several major assets, liabilities, income and expenses, the problem may be pervasive.

How Materiality & Pervasiveness Affect the Audit Opinion

Situation	Likely Audit Opinion
No material misstatement identified	Unmodified opinion
Material but not pervasive misstatement	Qualified opinion "except for"
Material and pervasive misstatement	Adverse opinion
Unable to obtain sufficient evidence, possible effects material but not pervasive	Qualified opinion
Unable to obtain sufficient evidence, possible effects material and pervasive	Disclaimer of opinion

Key Takeaways: Annual Reporting

Corporate Information

Provides the legal identity, governance structure and professional advisers the foundational layer of every annual report.

Statistical Data & MDA

Quantitative indicators supplement financial statements; management commentary provides the narrative context that numbers alone cannot convey.

Directors' Report

A statutory requirement under the Companies Act, 2015 covering 18 specific areas from principal activities and KPIs to donations (Sh 100,000 threshold) and going concern.

ESG Disclosures

GRI focuses on impact; IFRS S1/S2 focuses on financial materiality. Both frameworks are increasingly important for investors, regulators and other stakeholders.

ERM Report

Covers 15 disclosure areas from risk governance and risk appetite to emerging risks, financial risk disclosures (IFRS 7) and sustainability-related risks (IFRS S1/S2).

Auditor's Report

Four possible opinions unmodified, qualified, adverse or disclaimer determined by whether misstatements are material and/or pervasive.

End of Topic 4: MBA FMA Annual Reporting

This topic has covered the full spectrum of annual reporting requirements from the foundational corporate information section through to the independent auditor's opinion. A well-prepared annual report integrates all these components into a coherent, transparent and informative document that serves shareholders, investors, regulators and other stakeholders.

Section 4.1
Corporate Information

Section 4.2
Key Statistical Data

Section 4.3
Chairman & CEO Reports (MDA)

Section 4.4
Directors' Report

Section 4.5
ESG Disclosures

Section 4.6
Enterprise Risk Management

Section 4.7
Auditor's Report